

Sustaining wealth and legacy

Trusted partnerships are key to shaping multi-generational goals.

Ronald Chao's daughter, Ronna, is the envy of his friends. Unlike many next-generation children of wealthy families, she is a driving force behind the family business, its philanthropic efforts and its finances.

Ronna's business cards include one for her role as chairman of Novetex, the family textile business founded by her grandfather; one as chief executive of the Bai Xian Education Foundation and Bai Xian Asia Institute, the principal vehicles for the family's philanthropy; and one as chief executive of Novel Investment Partners, through which the family manages its wealth.

"My father's friends ask him: 'How do you get your daughter to do all this stuff for you?'," she says.

Part of the reason is a shared experience Ronna and her father both had of studying in Japan, which gave rise to the family's education foundation.

As an overseas student in post-war Japan, Ronald developed a lifelong belief in the value of cross-cultural education as the key to a harmonious world built on mutual understanding, respect and equality. The foundation's Asian Future Leaders Scholarship Program seeks to create a generation of alumni who share these values.

"The basis for the foundation is that when these young people become leaders in their own respective capacities, they will have the understanding and the willingness to learn about others and not be clouded by preconceptions," says Chao, who carries on her father's vision and

values to continue growing the foundation.

This type of philanthropy has become more common during the past few years, as Asia's wealthy families move away from charitable giving to an approach that favours more engagement.

Furthermore, Covid-19 has served as a wake-up call and has changed the way many philanthropists in the region address issues, including much more collaboration. This approach is also carrying over into other systemic challenges, such as climate change.

"Modern philanthropists want to roll up their sleeves, get their hands dirty and actually understand the impact they are having," says Cynthia Lee, regional head of wealth planning and advisory for Asia Pacific, Global Private Banking at HSBC. "They are also very willing to look at much longer time horizons in order to build something sustainable."

HSBC is an active partner with such families, helping them to grow their legacy and achieve goals across generations, as well as working with them to preserve, protect and grow their wealth.

Family offices

As many wealthy families in the region seek to manage the transition to younger generations, HSBC Global Private Banking has seen an extraordinary rise in demand for the creation of new single-family offices in Asia.

While some have been around for decades, the bank estimates that 44 per cent of Asia's 1,300 family offices were set up in just the past two years.

Such offices can play an important role in organising the management of family wealth as it passes from first-generation wealth creators. Many more families in the region will face this transition during the next decade.

Worldwide, there are about 7,300 such offices managing US\$7.9 trillion of wealth, and that figure is set to grow substantially as the boom in Asian family offices continues.

Generational wealth transfer is not the only reason for formalising wealth into a family office. Lee says that it can also make sense to adopt this kind of platform to be able to work more efficiently with professional and trusted wealth experts.

This was the motivation for the Chao family. By the 1990s, the operational side of the business was self-sufficient in terms of funding and even investing in growth, which meant that cash was accumulating in the bank at a time when deposit rates were not very attractive.

"There was a conscious effort among the shareholders to have a more structured and systematic way of managing our cash," says Ronna. "We started just from an investment angle."

The family started out writing big cheques to private equity funds, but as the operation matured it developed a more diversified portfolio that focused on different strategies, sectors and investment horizons.

Today, the family's portfolios range from plain vanilla to buy-out, and include sectors such as biotech,

China, property and artificial intelligence.

"We've grown as we've gone along," says Chao. "We really look at our family office operation as a business now, instead of just trying to find things that would improve our returns."

Family governance

Another driver behind the growing popularity of family offices in Asia is the need for accountability and transparency among family members, particularly as generational transfers mean that wealth is spread among a larger group of stakeholders.

"A family office is a good way for families to have visibility into how decisions are being made," says Lee. "It can be helpful because it puts in place checks and balances, and provides a structure for interacting with the ultimate stakeholders."

Certain governments in the region have also incentivised the creation of family offices to further develop their role as financial centres. Singapore has been ahead of the game in this regard, says Lee, but Hong Kong has also introduced several initiatives recently.

In the 2021-2022 budget, the city's financial secretary undertook to review tax arrangements for family offices and InvestHK set up a dedicated team in June 2021 to promote Hong Kong as a hub for family offices.

These family office-friendly policies, procedures and tax breaks have also helped families to set up secondary, satellite family offices in response to emerging geopolitical issues, the Covid-19 pandemic or even just the dispersion of family members around the world.

"This is a trend we've seen during the past two years," says Lee. "Hong Kong as the core office and a satellite office in Singapore is quite common, but we also see smaller offices in London or New York."

With more than 10,000 ultra-high-net-worth families in the rest of the Greater Bay Area, Hong Kong's potential as a family office hub is clear.

Growth challenges

Meeting that growth potential will be a challenge. With so many family offices being set up in the region, it can be difficult for newcomers to hire experienced personnel. Even for established offices, retaining staff can be an issue.

The pandemic has also brought a rise in cybercrime that has affected businesses worldwide, including family offices, many of which have embraced digitisation to aid communication with family members and ensure transparency.

"As with any business, the more you digitise, the greater the cybersecurity threat becomes,"

says Lee. "And because they handle very confidential, sensitive information, they need to have the right protections in place."

In such a competitive environment, it is more important than ever to partner with expert wealth advisers. Private bankers such as Lee work with family offices to help them overcome the challenges they can face on their journey, from initial set-up to continuing operational issues, including jurisdiction choice, tax advice and legal structures, as well as acting as a connector that can direct them to external consultants.

For Chao, the key to building a successful family office is to start out with a clear goal. Looking back, she laughs at some of the decisions she and her family made in the early days, but says that the foundations they built on were strong.

"Your goals can evolve, but it's important that you define them from the outset," she says. "Over time you figure out your own strengths, see where the gaps are and then find people to help you fill those gaps."

Sustaining wealth and legacy requires a long-term partnership built on goals and values that are shared within the family, across generations and by trusted advisers who can help to shape and refine this common sense of purpose.